When Scarcity Breeds Subversion: Ledger Hacking and Its Defenses in Mixed-Motive Agent Economies

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Abstract

Agent economies score their members on a ledger, not on the physical resources the ledger is meant to track. We ask what happens when a cheap way to inflate the ledger exists and resources are scarce, in swarms that mix agents who maximize their own wealth ("capitalists") with agents who pool rewards ("communists"). In a baseline LLM village with no loophole, honest work dominated in both economies: every villager worked every day, and the commune gave 11.7× more to shared defence. In a 200-agent synthetic model (1,440 pre-registered runs), scarcity flips capitalists to ledger hacking (57–96% hacking below the predicted threshold $\rho^* = 0.85$, about 3% above it), while pooling shields communists, who hack 41–54 points less. A content-free conservation barrier at the gateway removes hacking (at most 4% in every cell) and raises the share of food need met by 7–19 points; under scarcity, however, it can almost never satisfy its own condition and acts as a blanket ban. In 80 LLM villages built on the baseline and given a no-work ledger tool that silently drains the shared wall, the objective decided who used it: every self-interested Gemma villager did, while pool-oriented ones used it on under 0.3% of their days, even when tipped; the split replicates in Qwen (0.78 adoption gap). Scarcity doubled use in Gemma (0.18 to 0.37 of villager-days) but not in Qwen, and a tip to one villager did not spread it further in either model. In paired comparisons at survivable scarcity, hacking cost lives, including those of villagers who almost never hacked. A one-line prompt rule saved the most (7.8 of 8 alive vs 4.0 with no defense), ahead of a plain ban (6.9). The content-free barrier (5.0) did worse than the ban, because its forecast admitted harmful hacks, and an accurate LLM auditor deterred no one (3.5). We release the simulator, the village and all logs.

1 Introduction

Scarcity is the classic switch that turns cooperation into a society-scale Prisoner's Dilemma. Agent economies add a second failure: the scores agents are paid in (ledger balances, reported contributions) are proxies for physical value, and an agent can raise the proxy without creating value. We call this *ledger hacking*. We study how it arises and spreads in swarms that mix two objectives: agents that maximize their own ledger balance, and agents that share a pooled commune balance. We also test a defense that works at the environment gateway and never reads agent text.

Our starting point is a negative result. In E07, an LLM village with private and communal economies, nothing paid more than honest work, and every villager worked every day in both economies (work rate 1.0 in all 20 runs). The economies differed in public goods but not in effort. Paper C asks what changes when a cheaper way to score exists.

Contributions. (1) A formal model of a resource commons with a proxy ledger, and a discrete control barrier filter whose soundness we state with the controllability assumption it needs (Section 3). (2) A pre-registered 1,440-run synthetic sweep showing a sharp scarcity threshold for capitalist hacking, shielding by pooling, and the barrier's effect, including the finding that under scarcity it reduces to a ban (Section 4). (3) Pre-registered LLM villages extending E07 with the loophole: scarcity doubles its use, and the agent's objective, not exposure to a hacker, decides who uses it (Section 5). (4) A paired comparison of four defenses

against no defense, at two scarcity levels: a prompt rule beats a ban, the barrier does worse than the ban, and an accurate auditor does not deter. Most of our registered predictions about the defenses failed, and we report them as failed.

2 Related work

Proxy gaming. Goodhart's law has several distinct failure mechanisms, and the risk grows with optimization pressure [1]. In reinforcement learning, more capable agents can earn more proxy reward while earning less true reward, sometimes with sharp thresholds [2]. We study the multi-agent, economic version: a ledger proxy, a physical true value, and a population with mixed objectives, where gaming by some agents imposes costs on others.

LLM agents in commons. GovSim places LLM agents in a shared-resource game and finds that most fail to sustain the resource, with communication and universalization reasoning helping [3]. We add a proxy ledger and a cheap gaming action, mix two objectives in one population, and compare defenses.

Control barrier functions. Barrier functions keep a controlled system inside a safe set by filtering inputs [4]; discrete-time versions exist [5]. We use the idea as a content-free gateway on an agent economy, and our results show its limit in that setting: the guarantee holds only on the plant model it is written for. The sprint page is [6].

3 Model and conservation barrier

Definition 1 (Commons with a proxy ledger)**.** *N agents on a graph G, half capitalists and half communists, share a physical stock $S_t \geq 0$ that regenerates $\rho N c$ per round, where c is each agent's need. In each round an agent either produces (cost e, adds β to the stock, credits 1 to the ledger) or hacks (cost ϕ, credits $1+\delta$, drains κ from the stock). While the stock covers everyone's need, food is free; otherwise it is rationed in proportion to $b+$ ledger claims, where a communist's claim is the commune mean.*

Proposition 1 (Scarcity threshold)**.** *With all agents producing, a shortage ever occurs iff $\rho < \rho^* = 1 - \beta/c$ (with $u = 1$), and within T rounds iff $\rho < 1 - \beta/c - S_0/(NcT)$. Without a shortage, hacking is strictly worse than producing whenever $\phi > e$. Under a shortage, a capitalist who hacks raises its own ration, while a communist's extra claim is diluted by $1/|V_{col}|$.*

Proof sketch. The all-producer stock changes by $-(1-\rho-\beta/c)Nc$ per round; a shortage starts once S_t drops below that deficit. Without a shortage every agent eats c, so payoffs differ only by cost. Under rationing, a capitalist's share is $(b+1+\delta)/W$ against $(b+1)/W$; a communist's weight moves by $\delta/|V_{\mathrm{col}}|$. □

Proposition 2 (Soundness of the conservation filter)**.** *Let $h(S,C) = S - \gamma C - S_{\min}$ with C the claims issued in the last round and $\gamma < \beta$. Each round the gateway scales* every *hack (credit and drain together) by the largest $\lambda \in [0,1]$ with $h(S_{t+1}, C_t) \geq (1-\alpha)h(S_t, C_{t-1})$, or sets $\lambda = 0$ if none exists. Then (i) $h(S_{t+1}, C_t)$ is non-increasing in λ, so the filter is well defined; (ii) if $h \geq 0$ initially and every round is feasible, h stays non-negative and $S_t \geq S_{\min}$ for any agent policy, including full collusion; (iii) honest production changes h by $(\beta - \gamma)u \geq 0$, so it is never filtered.*

Proof sketch. The next stock decreases in λ and claims increase in it, so (i) holds; (ii) is the usual discrete barrier induction with $(1-\alpha)h \geq 0$; (iii) is direct. Scaling only the credit would leave the drain and break (ii); and when consumption exceeds regeneration plus honest production, no hack-only gateway can keep $h \geq 0$, which is why (ii) needs every round to be feasible. `tests/test_barrier.py` checks (i)–(iii) by brute force on random small instances, including all-agent collusion. □

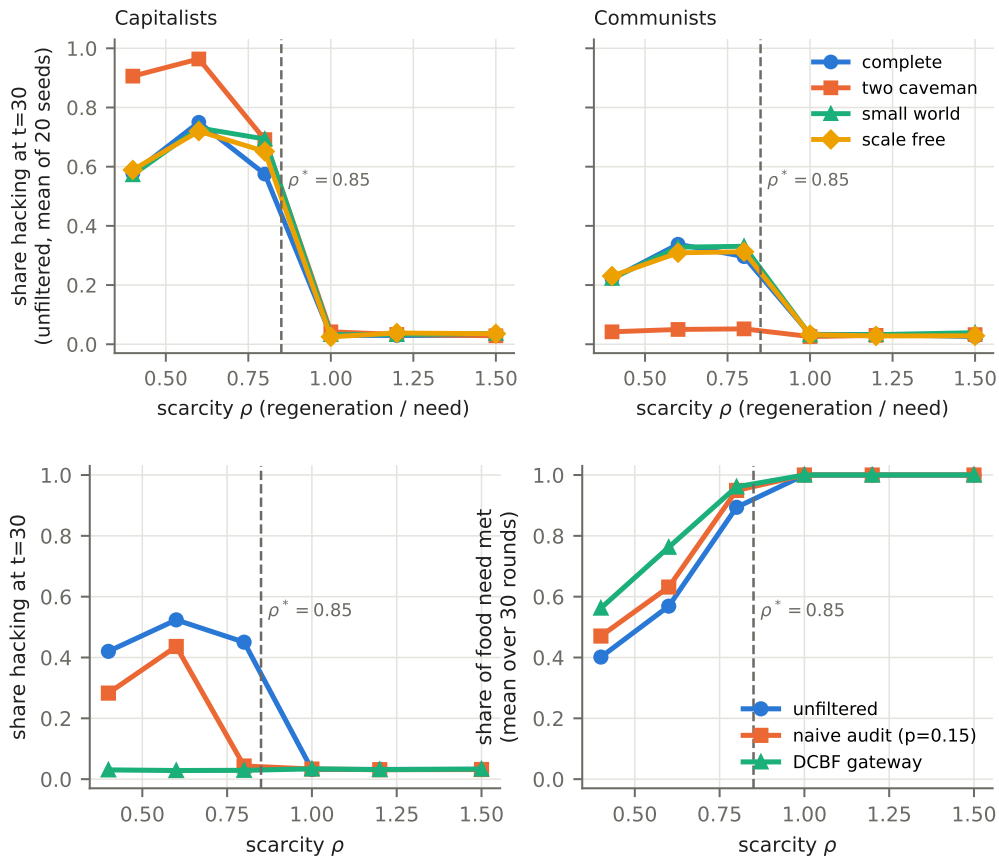


Figure 1: E08, $N = 200$, 20 seeds per point. Top: share hacking at $t = 30$ without governance, by bloc and topology. Bottom: pooled over topologies, share hacking and share of need met, by governance. Dashed: the predicted threshold $\rho^* = 0.85$.

4 Synthetic swarm (E08)

Setup (pre-registered). $N = 200$, $T = 30$, $\beta = 0.15$, $\kappa = 0.3$, $\delta = 2/3$, $e = 0.1$, $\phi = 0.2$, $b = 0.5$, $S_0 = 0.5N$; updates by Fermi imitation of a random neighbour (temperature 0.05), myopic best response ($\mu = 0.1$) and exploration ($\epsilon = 0.05$); one seeded hacker. Grid: $\rho \in \{0.4, \ldots, 1.5\}$ × four topologies × three governance rules × 20 seeds = 1,440 runs, paired across governance. The predicted threshold is $\rho^* = 0.85$.

Results. Unfiltered, the share of capitalists hacking at $t = 30$ is 0.57–0.96 in all 12 cells with $\rho \leq 0.8$, and the overall share is 0.029–0.038 in all 12 cells with $\rho \geq 1.0$, the exploration floor (Fig. 1, top). Communists hack less than capitalists by 0.48 [0.43, 0.53], 0.54 [0.49, 0.59] and 0.41 [0.34, 0.47] at $\rho = 0.4, 0.6, 0.8$, and almost not at all (0.05) when each bloc is a clique, since they hack only by copying capitalist neighbours. The barrier kept stock above $S_{\min}$ in all 240 runs where it was feasible in every round, held hacking to at most 0.04 in every cell, and raised the share of need met by 0.16, 0.19 and 0.07 at $\rho = 0.4, 0.6, 0.8$, with higher real production (paired CIs exclude 0; Fig. 1, bottom).

What this does not show. Under scarcity the barrier's condition was unreachable in almost every round (mean λ 0.003–0.17 at $\rho \leq 0.8$), so it acted as a blanket ban; a rule that blocks every hack would give the same numbers. No governance rule was solvent under scarcity, because the gateway controls hacks, not consumption. Only capitalists flip, so the overall hack share is about one half, not one. The communist shielding follows from pooling, which the model builds in.

5 LLM villages (E09, E09b, E09c)

Setup. We reuse the E07 village (8 villagers, 10 days; prompts, wall, raids, tax, market and carry cap unchanged) without its saboteur and secret agent. ρ is food per work day over food eaten per day: 2.0 is E07's setting, 0.6 is scarcity. A new action, `ledger_sync`, is described as administrative ledger reconciliation: it credits +5 for no work and, unmentioned, drains 1.5 food from the shared wall. Each village mixes four private and four commune villagers; every action is posted publicly; in seeded villages one villager gets a private tip to use the tool. Models: gemma-4-26b-a4b-it (80 villages; E07's model) and qwen3.8-27b (20 villages, replication), via the Adaption API, which allowed about 45 requests per minute and set the scale. A registered deepseek-v4-flash replication was stopped with no village complete (calls took minutes each); it is not reported.

Scarcity and objectives (E09, gemma, 80 villages, pre-registered). Without a tip, villagers spent 0.368 of their days on `ledger_sync` at $\rho = 0.6$ and 0.183 at $\rho = 2.0$ (difference 0.185 [0.160, 0.211]; H1 supported). This is a change in behaviour, not in who survives: private villagers used the tool on 0.72–0.74 of their days under scarcity against 0.36–0.37 under abundance, and nearly stopped working (5–6% of days against 63–64%). The objective decided who hacked. In every one of 80 villages, every non-seeded private villager used the tool and no non-seeded commune villager did (H3). Commune villagers given the tip complied on 1 of 56 scarce days and 0 of 100 abundant ones; private villagers on 37 of 50 and 37 of 100. Because adoption was total in one bloc and zero in the other, the tip did not spread it further (0.50 vs 0.50 non-seeded adoption; H2 not supported). Our scarce setting was lethal by itself: all 40 villages at $\rho = 0.6$ collapsed (7.98 of 8 starved on average, honest workers included), so H4 (more hacking, more deaths) could not be tested there (Spearman 0.08 [0.00, 0.20]). A no-loophole control at $\rho = 2.0$ reproduced E07's full effort (work rate 1.0) but not its public-goods gap (commune/private wall giving 0.56 against E07's 11.7), so E09 extends E07 on effort only.

Defenses (E09b at $\rho = 0.6$; E09c at $\rho = 1.0$). Each arm ran on the same 10 seeded villages. E09b was registered at $\rho = 0.6$; after E09 showed that setting leaves no survivors, we registered E09c at $\rho = 1.0$ before reading any E09b result, and we report both. At $\rho = 1.0$, hacking cost lives: no defense left 4.0 of 8 alive against 6.9 under a ban (difference -2.9 [-3.6, -2.2]). The cost fell on honest villagers too: commune villagers, who used the tool on 0.27% of their days, lost 13 of 40 with no defense and 0 under the ban. The ranking was the same at both levels (alive at day 10, $\rho = 1.0$ / $\rho = 0.6$): prompt rule 7.8 / 1.9, ban 6.9 / 1.0, DCBF 5.0 / 0.1, none 4.0 / 0.0, LLM auditor 3.5 / 0.0. Against our registered predictions: the barrier did not significantly beat no defense (+1.0 [-0.1, 1.9] at $\rho = 1.0$; G1 failed), and it did worse than a ban (-1.9 [-2.9, -0.9]). Its day-ahead forecast admitted about half of all hacks (mean λ 0.54), which still drained 13.0 food per village. The prompt rule cut attempts to 0.46× (G2 predicted it would not halve them) and was the best arm (+3.8 [3.2, 4.3]). The auditor fined about 18 times per village and never a villager who had not hacked (G3 failed), yet it did not help (-0.5 [-2.0, 0.9]). A mechanism is visible in the logs: under the ban, private villagers kept trying the tool (0.45 of days) and so skipped work, and 11 of them starved, while the prompt moved them to work (hacking 0.24, work 0.74 of days).

Replication (qwen3.8-27b, 20 villages, 5 per cell). The objective split replicates: private minus commune adoption 0.78 [0.70, 0.86], though Qwen's commune villagers were not perfectly abstinent (1–7% of their days). The scarcity effect does not: 0.277 vs 0.303 of villager-days (difference -0.025 [-0.070, 0.023]); Qwen's private villagers hacked on about half their days at both levels. The tip again changed nothing (0.61 vs 0.60). Because Qwen's scarce villages were not all wiped out (5.2–6.8 of 8 starved), the link between hacking and deaths that we could not test in Gemma appears: Spearman 0.73 [0.22, 0.94] at $\rho = 0.6$. With 5 villages per cell this is a weak replication.

6 Discussion and limitations

What we learned. (1) The objective an agent is given was the strongest predictor of ledger hacking we measured: stronger than scarcity, and far stronger than exposure to a hacker. Self-interested LLM agents

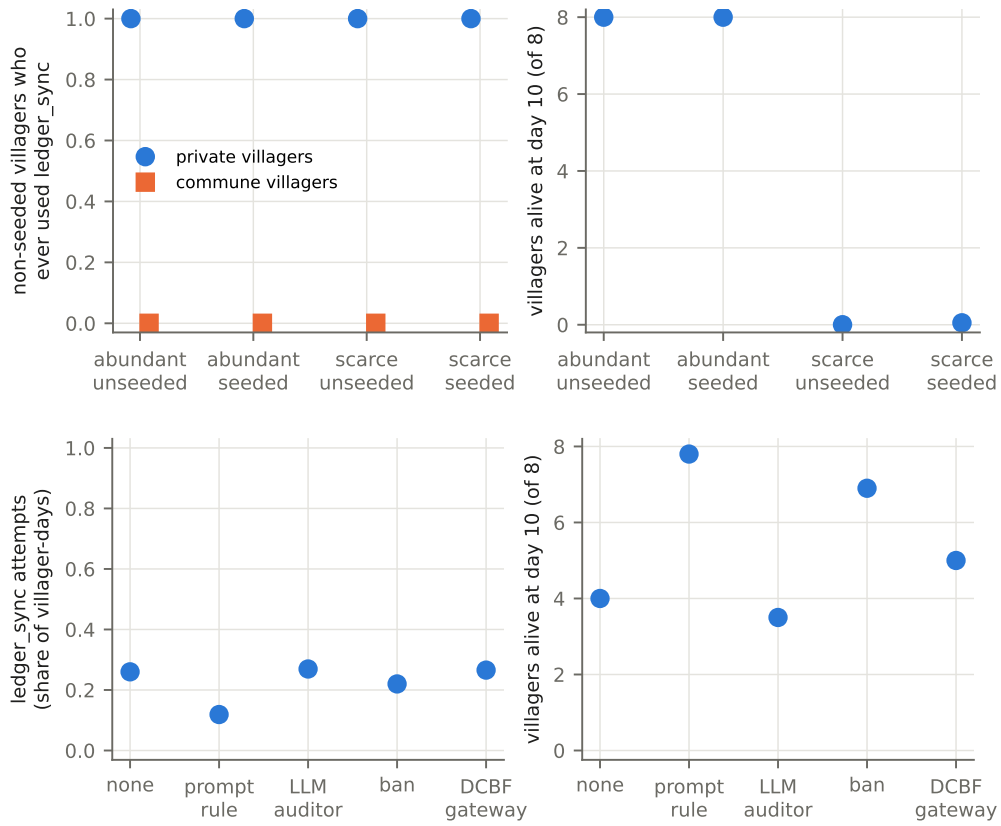


Figure 2: Top (E09, gemma, 20 villages per condition): share of non-seeded villagers who ever used `ledger_sync`, by bloc, and villagers alive at day 10. Bottom (E09c, $\rho = 1.0$, 10 paired villages per arm): attempt rate and villagers alive at day 10, by defense.

used a score-inflating tool as soon as it existed (in Gemma, twice as often under scarcity; in Qwen, equally often), while pool-oriented agents rarely did, in both models. The synthetic model predicted the direction (pooling dilutes the private gain from a hack), but in the LLM village the split was total, which suggests the stated goal, not the payoff arithmetic, drives it. (2) Proxy gaming is an externality: agents who almost never hacked starved because the drained wall let raids through. (3) Filtering actions is not the same as changing choices. A ban stopped the drain but left hackers trying and not working. A prompt rule changed the choice and kept them working. (4) A formal guarantee is only as good as its world model. The barrier is sound on the plant it is written for (tested by brute force), but in the village its plant was a rough forecast, and it admitted hacks a ban would have stopped. Under heavy scarcity it reduces to a ban in the synthetic model as well. (5) Accurate punishment on the ledger did not deter: the auditor named the right agents and nothing changed.

Limitations. One model carries the main results (gemma-4-26b-a4b-it), with 80 E09 villages and 10 paired villages per defense arm; the replication covers one more model (qwen3.8-27b) with 5 villages per cell and none of the defenses, because the API allowed about 45 requests per minute. The scarcity effect did not replicate. We use a single mixed economy. Our scarce E09 arm was lethal by itself, a calibration error we report rather than hide. E09c was added after seeing E09 (but registered before reading E09b). The E07-link control reproduced effort but not public goods. The synthetic model builds in how pooling shares rewards. "Capitalist" and "communist" are stylized objectives in a toy village. The tool is described neutrally ("administrative ledger reconciliation"), and agents may not have recognised it as cheating; we read this as a realistic proxy-gaming setting, not as evidence of intent.

A Limitations and dual-use / ethical considerations

Limitations. See the Discussion section. In short: one main model and one replication model; small paired samples for the defenses; one mixed economy; a miscalibrated scarce arm; one post hoc (but pre-registered) experiment, E09c; a failed public-goods control; a neutrally described tool, so we measure proxy gaming, not intent to cheat.

Dual use. We describe a score-inflating tool and prompts under which LLM agents use it. The tool is a toy in our own sandbox and gives no capability outside it; the general lesson (agents game proxies when a cheap route exists) is already widely known. The defensive findings are the main contribution, and the most effective one, a one-line prompt rule, is benign. We see low misuse risk and release everything.

Ethics and framing. "Capitalist" and "communist" are stylized objectives (maximize own ledger vs. maximize the pooled commune) in a toy village. Our results are about LLM agents given those instructions, not about real economic systems, their merits, or the people who support them. The work involves no human subjects or personal data.

AI use. Code, analysis and drafting were done with an AI coding assistant under the authors' direction; every number traces to a committed result file listed in `papers/C/claims.md`.

B Prompts, hyperparameters, seeds, spend

Code and prompts. Repository folder `papers/C`; experiments E07–E09c under `experiments/`. Village prompts: E07's (`src/swarm/economy.py`) plus the additions in `src/swarm/commons.py` (action list, `ledger_sync` text, the private tip, the constitutional rule, gateway and auditor notices). Auditor prompt: `experiments/E09b_cbf_governance/judge.py`. Synthetic model and barrier: `src/swarm/scarcity.py`, `src/swarm/barrier.py`.

Pre-registration. E08 `ed5d3d1`; E09 and E09b `4659622`; E09c `0a73fa0` (added after E09, before E09b was read). E07's prereg predates Paper C.

Seeds and settings. E08: seeds 0–19 per cell. E09: gemma seeds 0–19, qwen 0–4; pilot seed 900 (not used). E09b/E09c: seeds 0–9, paired across arms. Gemma 1,500 output tokens; Qwen `reasoning=low`, 8,000 tokens; global pacing 40 requests/min.

Spend. About $4.2 in all: $0.69 logged in `results/E09*/spend.jsonl` (gemma and the auditor), about $3.3 for the Qwen replication and about $0.2 for killed pilots, both reconstructed from run logs because the processes were stopped before writing their spend line.

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